

NATIONAL CULTURE

An abstract graphic featuring a glowing blue line that curves through the lower half of the slide. The line is surrounded by various 3D geometric shapes in shades of green, yellow, and blue. The background is a deep blue with horizontal lines and a bright light source on the right side, creating a sense of depth and movement.

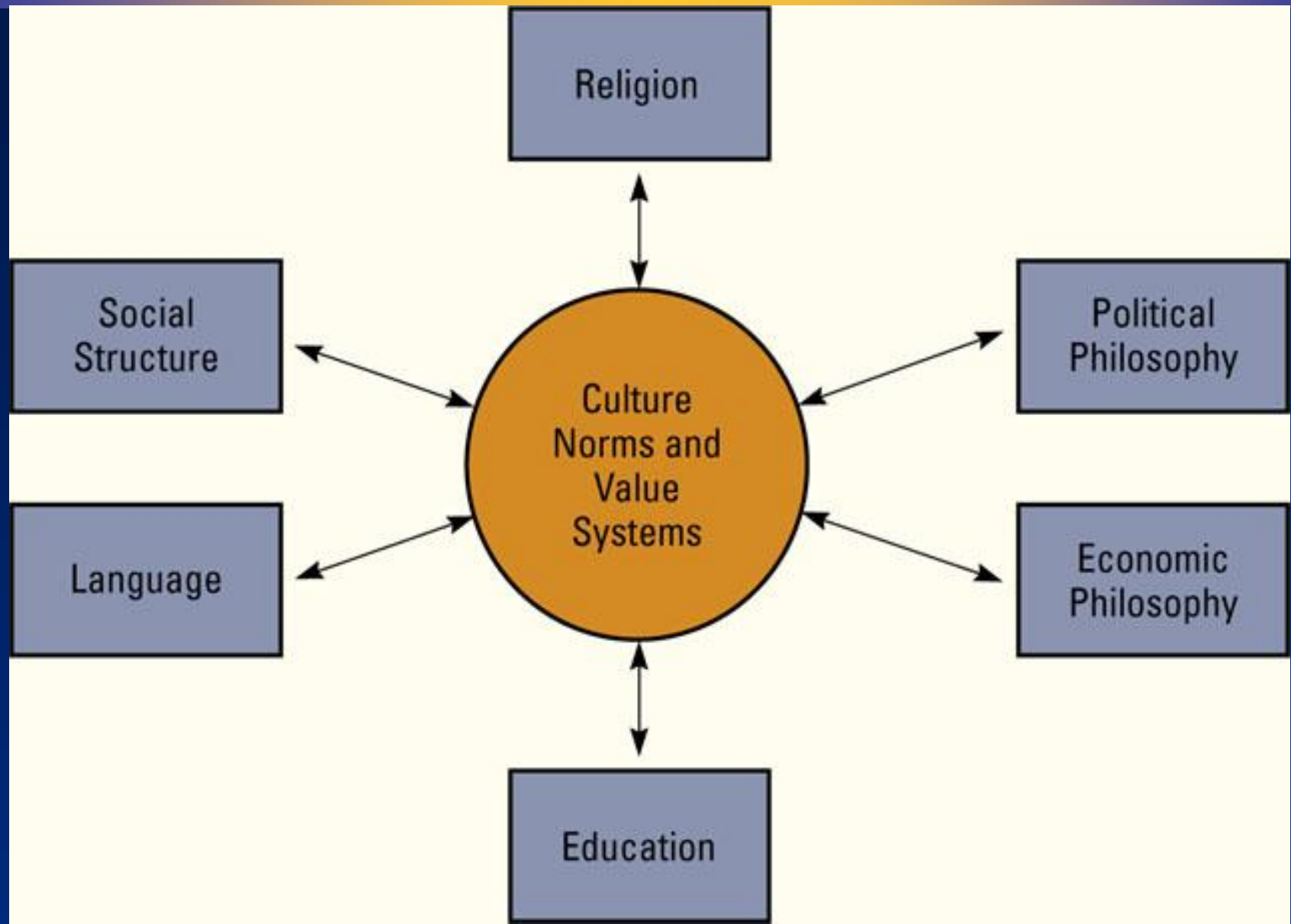
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DEFINITION

- Culture is a system of values and norms that are shared among a group of people and that, when taken together, constitute a design for living
 - Values: abstract ideas about what a group believes to be good, right, and desirable.
 - Norms: the social rules and guidelines that prescribe appropriate behavior in particular situations.
- Culture is a shared system of meaning, ideas, and thought. It guides our perception and understanding of the world, and it shapes our behavior.
- Different levels of culture can coexist.

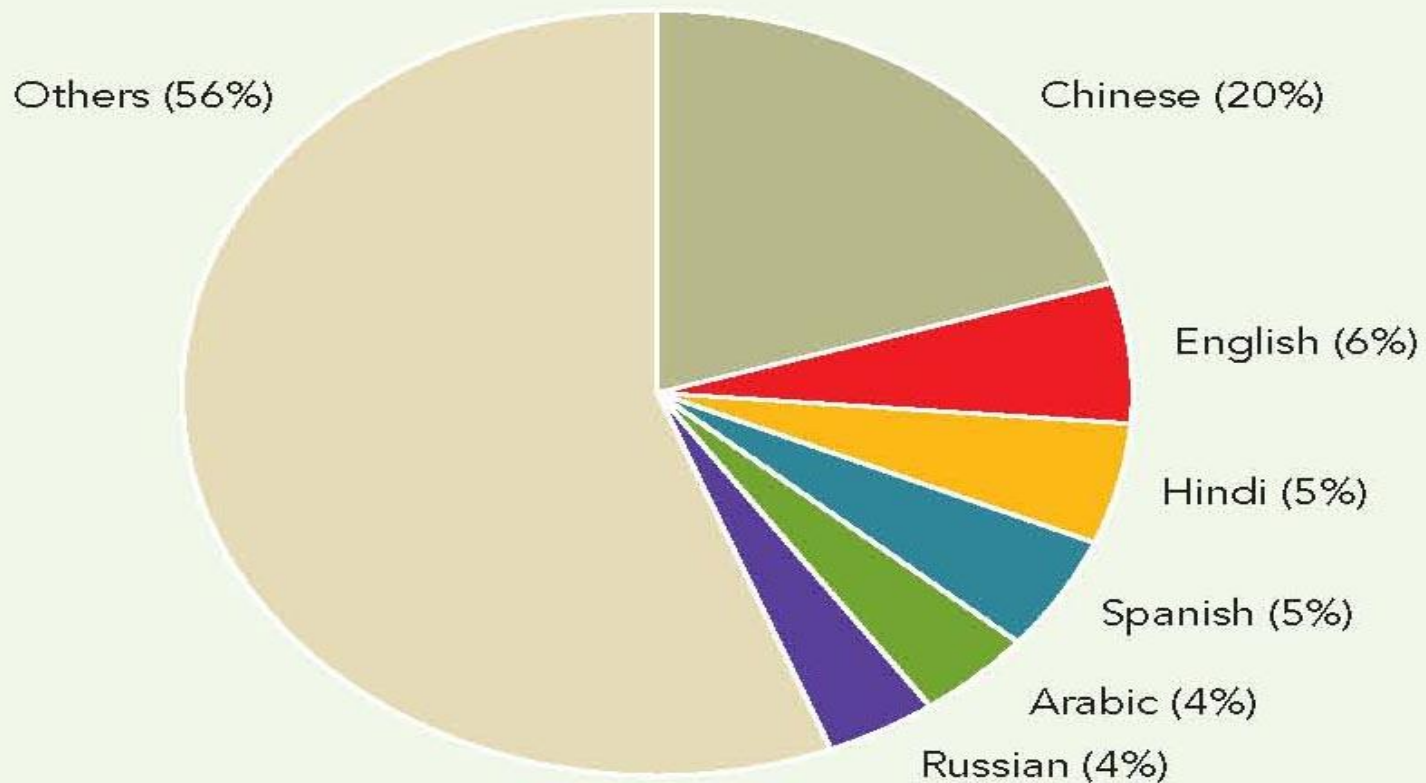
DETERMINANTS



World Population by Language

FIGURE 3.1

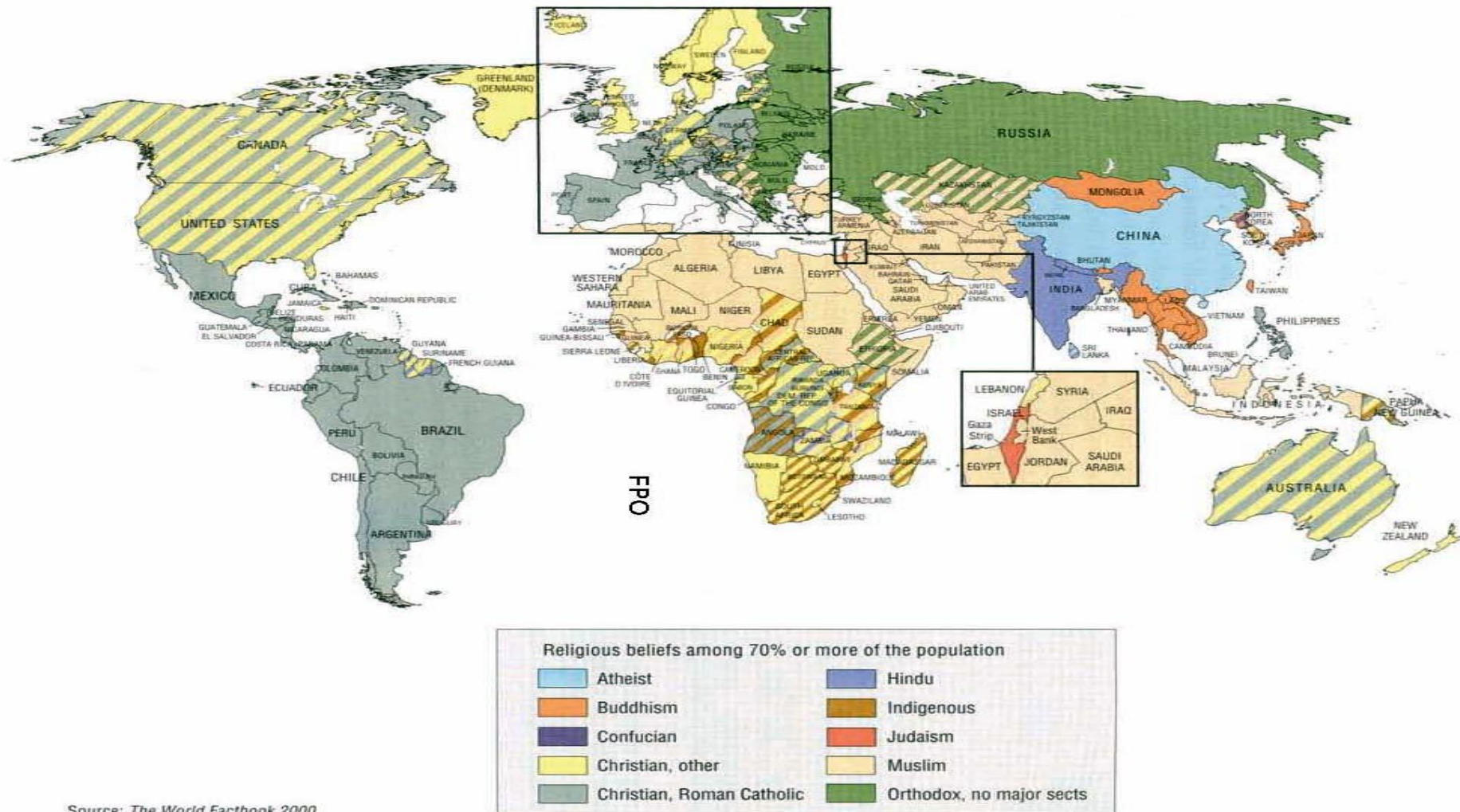
WORLD POPULATION BY LANGUAGE



Sources: Author's estimates based on data in (1) *The Economist Atlas*, 2005, London: The Economist Books; (2) D. Graddol, 2004, The future of language, *Science*, 303: 1329–1331; (3) S. Huntington, 1996, *The Clash of Civilizations and the Remaking of World Order*, New York: Simon & Schuster.

Religious Heritages of the World

FIGURE 3.3 RELIGIOUS HERITAGES OF THE WORLD



DIMENSIONS: Edward Hall

- Culture is a means of communication which takes place through symbols or “silent languages” (Edward Hall in the late 1950s)
 - the language of time: The way people approach to time
 - the language of space: The way people use space
 - the language of material goods: The way people view these
 - the language of friendship: The way people make friends
 - the language of agreement: The way people express agreement

Business and Interpersonal Relationships in Low/High Context Cultures

Context	Low	Medium	High
Country/regional examples	N. American, Scandinavian, Swiss, German	Greek, Spanish, Italian, French, Dutch, British	Asian, Arabic, Latin American
Meeting people	Informal	Formal	Formal
Getting acquainted	Fast	Moderate	Slow
Relationship depth	Shallow	Moderate	Deep
Relationship trust	Little	Trust	Much trust
Behavior limits	Legal	Legal/social	Social
Lawyer reliance	High	Moderate	Low

Business and Interpersonal Relationships in Low/High Context Cultures

Context	Low	Medium	High
Business relationships	Arm's length	Social-business mixed	Much socializing
Insider-outsider	Low	Moderate	High
Social class differences	Low/moderate	Moderate	High
Patriarchal	Low	Moderate	High
Individualism	High	Moderate	Low
Individual competition	Encouraged	Discouraged	Anti-social
Uncertainty tolerance	High	High	Low
Mistakes tolerance	High	Medium	Low
Mistakes accountability	High	Medium	Low

DIMENSIONS: Geert Hofstede

- Power Distance
 - Degree of hierarchical social inequality considered normal by people
 - Distance between individuals at different levels of a societal hierarchy
- Individualism Vs. Collectivism
 - Degree to which people in a country prefer to act as individuals rather than in groups
 - Describes the relations between the individual and his/her fellows
- Uncertainty Avoidance
 - Degree of need to avoid uncertainty about the future
 - Degree of preference for structured versus unstructured situations

DIMENSIONS: Geert Hofstede

- Masculinity vs. Femininity
 - Division of roles and values in a society
 - Masculine values prevail:
assertiveness, success, competition
 - Feminine values prevail:
quality of life, maintenance of warm personal relationships,
service, care for the weak, solidarity
- Long-term Orientation (Confucian Dynamism)
 - Attitudes towards:
Long time frames & persistence
Reciprocity --gifts and favors
Respect for status & tradition
Concerns for “Face”

Hofstede's Cultural Dimensions

TABLE 3.2 HOFSTEDE'S DIMENSIONS OF CULTURE¹

	1. Power distance	2. Individualism	3. Masculinity	4. Uncertainty avoidance	5. Long-term orientation
1	Malaysia (104) ²	USA (91)	Japan (95)	Greece (112)	China (118)
2	Guatemala (95)	Australia (90)	Austria (79)	Portugal (104)	Hong Kong (96)
3	Panama (95)	UK (89)	Venezuela (73)	Guatemala (101)	Taiwan (87)
4	Philippines (94)	Canada (80)	Italy (70)	Uruguay (100)	Japan (80)
5	Mexico (81)	Netherlands (80)	Switzerland (70)	Belgium (94)	South Korea (75)
6	Venezuela (81)	New Zealand (79)	Mexico (69)	Salvador (94)	Brazil (65)
7	Arab countries (80)	Italy (76)	Ireland (68)	Japan (92)	India (61)
8	Ecuador (78)	Belgium (75)	Jamaica (68)	Yugoslavia (88)	Thailand (56)
9	Indonesia (78)	Denmark (74)	UK (66)	Peru (87)	Singapore (48)
10	India (77)	Sweden (71)	Germany (66)	France (86)	Netherlands (44)
11	West Africa (77)	France (71)	Philippines (64)	Chile (86)	Bangladesh (40)
12	Yugoslavia (76)	Ireland (70)	Colombia (64)	Spain (86)	Sweden (33)
13	Singapore (74)	Norway (69)	South Africa (63)	Costa Rica (86)	Poland (32)
14	Brazil (69)	Switzerland (68)	Ecuador (63)	Panama (86)	Germany (31)
15	France (68)	Germany (67)	USA (62)	Argentina (86)	Australia (31)
16	Hong Kong (68)	South Africa (65)	Australia (61)	Turkey (85)	New Zealand (30)
17	Colombia (67)	Finland (63)	New Zealand (58)	South Korea (85)	USA (29)
18	El Salvador (66)	Austria (55)	Greece (57)	Mexico (82)	UK (25)
19	Turkey (66)	Israel (54)	Hong Kong (57)	Israel (81)	Zimbabwe (25)
20	Belgium (65)	Spain (51)	Argentina (56)	Colombia (80)	Canada (23)
21	East Africa (64)	India (48)	India (56)	Venezuela (76)	Philippines (19)
22	Peru (64)	Japan (46)	Belgium (54)	Brazil (76)	Nigeria (16)
23	Thailand (64)	Argentina (46)	Arab block (53)	Italy (75)	Pakistan (0)
24	Chile (63)	Iran (41)	Canada (52)	Pakistan (70)	
25	Portugal (63)	Jamaica (39)	Malaysia (50)	Austria (70)	
26	Uruguay (61)	Brazil (38)	Pakistan (50)	Taiwan (69)	
27	Greece (60)	Arab countries (38)	Brazil (49)	Arab countries (68)	
28	South Korea (60)	Turkey (37)	Singapore (48)	Ecuador (67)	

Hofstede's Cultural Dimensions

Table 3.2 continued

	1. Power distance	2. Individualism	3. Masculinity	4. Uncertainty avoidance	5. Long-term orientation
29	Iran (58)	Uruguay (36)	Israel (47)	Germany (65)	
30	Taiwan (58)	Greece (35)	Indonesia (46)	Thailand (64)	
31	Spain (57)	Philippines (32)	West Africa (46)	Iran (59)	
32	Pakistan (55)	Mexico (30)	Turkey (45)	Finland (59)	
33	Japan (54)	East Africa (27)	Taiwan (45)	Switzerland (58)	
34	Italy (50)	Yugoslavia (27)	Panama (44)	West Africa (54)	
35	Argentina (49)	Puerto Rico (27)	Iran (43)	Netherlands (53)	
36	South Africa (49)	Malaysia (26)	France (43)	East Africa (52)	
37	Jamaica (45)	Hong Kong (25)	Spain (42)	Australia (51)	
38	USA (40)	Chile (23)	Peru (42)	Norway (50)	
39	Canada (39)	West Africa (20)	East Africa (41)	South Africa (49)	
40	Netherlands (38)	Singapore (20)	El Salvador (40)	New Zealand (49)	
41	Australia (36)	Thailand (20)	South Korea (39)	Indonesia (48)	
42	Cost Rica (35)	El Salvador (19)	Uruguay (38)	Canada (48)	
43	Germany (35)	South Korea (18)	Guatemala (37)	USA (46)	
44	UK (35)	Taiwan (17)	Thailand (34)	Philippines (44)	
45	Switzerland (34)	Peru (16)	Portugal (31)	India (40)	
46	Finland (33)	Costa Rica (15)	Chile (28)	Malaysia (36)	
47	Norway (31)	Pakistan (14)	Finland (26)	UK (35)	
48	Sweden (31)	Indonesia (14)	Yugoslavia (21)	Ireland (35)	
49	Ireland (28)	Colombia (13)	Costa Rica (21)	Hong Kong (29)	
50	New Zealand (22)	Venezuela (12)	Denmark (16)	Sweden (29)	
51	Denmark (18)	Panama (11)	Netherlands (14)	Denmark (23)	
52	Israel (13)	Ecuador (8)	Norway (8)	Jamaica (13)	
53	Austria (11)	Guatemala (6)	Sweden (8)	Singapore (8)	

1. When scores are the same, countries are tied according to their alphabetical order. Arab, East Africa, and West Africa are clusters of multiple countries. Germany and Yugoslavia refer to the former West Germany and the former Yugoslavia.

2. Scores reflect relative standing among countries, not absolute positions. They are measures of differences only.

Sources: Adapted from G. Hofstede, 1997, *Cultures and Organizations: Software of the Mind* (pp. 25, 26, 53, 84, 113, 166). New York: McGraw-Hill.

CULTURE & BUSINESS PRACTICES (Lessons for Managers)

Interactions Between Firms

- Negotiations with suppliers/customers and collaborative activities
- At the early stage of interaction, in many countries, the specifics of business negotiation can only be discussed after a basis of trust/mutual respect has been developed
- Once involved in active negotiation, paying attention to the “silent languages” of time and agreement becomes important.
- The specificity with which a contract is drawn up may also be important. Managers from a low-context culture tend to seek precise terms and clauses to cover all aspects of the agreement explicitly, while managers from a high-context culture tend to prefer a shorter agreement with less emphasis on the explicit terms and more weight on trust and mutual obligation.



CULTURE & BUSINESS PRACTICES (Lessons for Managers)

Interactions Within Firms

- Organizations with members from different cultures likely face the following challenges.
- How to deal with members' different levels of power distance with respect to power relations among members
- How to deal with members' individualistic or collectivistic inclination with respect to participation and decision making
- How to deal with members' individualistic or collectivistic inclination with respect to motivation, performance evaluation, and reward/compensation



IMPLICATIONS FOR BUSINESSES

- There is a need for managers to develop cross-cultural literacy
 - Understanding national culture and its role in management is important for international businesses (negotiation & management)
 - Not just understanding the differences of national cultures in some undefined way but understanding distinctive behavior various cultural group may exhibit
 - Managers should develop an awareness of their own cultural behavior – their own implicit assumptions about time, expression of agreement, individualism, & power distance
- The relative importance of culture varies depending on situations.
 - More important for social settings like negotiations than for technical systems like financial models, process control systems, manufacturing systems

IMPLICATIONS FOR BUSINESSES

- There is a connection between culture and national competitive advantage
 - The values and norms of a society influence the cost of doing business, which in turn affect the ability of firms to establish a competitive advantage.
 - Hinduism or Islam may not be as supportive of capitalism as Protestantism and Confucianism. (Islamic laws banning interest payments)
 - The connection has implications for the choice of countries in which to locate production facilities and do business
- Differences in national culture are still very high, but national cultures tend to change over time. National cultures seem to be converging rather than diverging especially in young generations